

# Smart Supply Chain Dashboard

## KPI Reference Guide

Complete documentation of all Key Performance Indicators for Admin, Manager, and Supplier users — including formulas, thresholds, and interpretation guides.

Admin / Manager

Supplier

AI-Powered

Backend: FastAPI (Python)

Frontend: Angular 18

Database: MongoDB

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## 1 Admin Dashboard KPIs

These eight KPIs are displayed on the **Admin Executive Dashboard** and are computed by the `/api/kpis/executive-summary` endpoint. They give managers a single-screen view of the entire supply chain's operational health.

### 1.1 Global Supply Chain Health

|                       |                                                                        |
|-----------------------|------------------------------------------------------------------------|
| <b>Display Format</b> | Percentage (%)                                                         |
| <b>API Endpoint</b>   | <code>/api/kpis/executive-summary</code> → <code>metrics.health</code> |
| <b>Visible To</b>     | Admin, Manager                                                         |
| <b>Good Threshold</b> | ≥ 95%                                                                  |

**What it means:** A composite indicator that summarises overall operational health by blending on-time delivery performance with inventory availability into one score.

**Formula:**

$$\text{Global Health} = ( \text{OTIF\%} + (100 - \text{Stockout Rate\%}) ) / 2$$

**Example:** OTIF = 94%, Stockout Rate = 2% → Health = (94 + 98) / 2 = **96.0%**

| Score Range | Interpretation                              |
|-------------|---------------------------------------------|
| ≥ 95%       | Excellent — operations are highly efficient |
| 85–94%      | Good — minor improvements needed            |
| < 85%       | ■ Alert — immediate action required         |

### 1.2 OTIF Service Level (On-Time In-Full)

|                       |                                                                      |
|-----------------------|----------------------------------------------------------------------|
| <b>Display Format</b> | Percentage (%)                                                       |
| <b>API Endpoint</b>   | <code>/api/kpis/executive-summary</code> → <code>metrics.otif</code> |
| <b>Visible To</b>     | Admin, Manager                                                       |
| <b>Good Threshold</b> | ≥ 95% (world-class: ≥ 98%)                                           |

**What it means:** The percentage of customer sales orders that were shipped on time. An order is *on-time* when the actual shipment day does not exceed the scheduled shipment day. OTIF is the standard delivery performance metric used across global supply chains.

**Formula:**

$$\text{delay} = \text{real\_shipment\_days} - \text{scheduled\_shipment\_days} \quad \text{on-time} = \text{delay} \leq 0 \quad \text{OTIF\%} = (\text{on-time orders} / \text{total orders}) \times 100$$

### 1.3 Active Stockout Rate

|                |                                                     |
|----------------|-----------------------------------------------------|
| Display Format | Percentage (%) — lower is better                    |
| API Endpoint   | /api/kpis/executive-summary → metrics.stockout_rate |
| Visible To     | Admin, Manager                                      |
| Good Threshold | ≤ 2%                                                |

**What it means:** The percentage of catalog products that currently have **zero units in stock**. A stockout means that product cannot be sold or fulfilled, directly impacting revenue and customer satisfaction.

**Formula:**

```
Stockout Count = COUNT(products where current_stock == 0)
Stockout Rate% = (Stockout Count / Total Products) × 100
```

### 1.4 Average Delivery Lead Time

|                |                                                |
|----------------|------------------------------------------------|
| Display Format | Days (d) — decimal                             |
| API Endpoint   | /api/kpis/executive-summary → metrics.avg_lead |
| Visible To     | Admin, Manager                                 |
| Direction      | Lower is better                                |

**What it means:** The average number of days it actually takes to ship all orders. A growing average signals process bottlenecks, supplier delays, or logistics issues.

**Formula:**

```
Avg Lead Time = Σ real_shipment_days / Total Orders
```

## 1.5 Total Revenue

---

**What it means:** Total gross sales revenue generated across all orders.

**Formula:**

```
Order Revenue = Σ (quantity × unitPrice) per order_line  
Total Revenue = Σ Order Revenue across all orders (Fallback: if no line prices, estimate = order_profit / 0.15)
```

## 1.6 Total Orders

---

**What it means:** Total count of sales orders — a volume metric for business activity.

**Formula:**

```
Total Orders = COUNT(documents in sales_orders collection)
```

## 1.7 Active Products Catalog

---

**What it means:** Total number of distinct SKUs registered in the product catalog.

**Formula:**

```
Active Products = COUNT(documents in products collection)
```

## 1.8 Total Active Customers

---

**What it means:** Number of unique customer IDs that have placed at least one sales order.

**Formula:**

```
Total Customers = COUNT(DISTINCT client_id across all sales_orders)
```

## 2 Order & Anomaly KPIs

These KPIs are enriched by a **LightGBM machine-learning model** and rule-based logic to detect fraud and delivery anomalies. Each order from `/api/orders` is scored in real-time.

### 2.1 Anomaly Status (Fraud Detection)

|                |                                               |
|----------------|-----------------------------------------------|
| Display Format | Badge: valid / delay anomaly / unusual        |
| Algorithm      | LightGBM classifier + rule-based threshold    |
| API Endpoint   | <code>/api/orders</code> (enriched per order) |
| Visible To     | Admin, Manager                                |

**What it means:** Each sales order is classified to detect suspected fraud or abnormal delivery patterns. This is the primary fraud-screening KPI powering the Sales Order tab.

#### Classification logic:

```
flagged "unusual" (fraud) if: LightGBM predicts fraud=1 OR: database status == "SUSPECTED_FRAUD"
flagged "delay anomaly" if: real_shipment - scheduled_shipment > 3 days
otherwise classified as: "valid"
```

#### LightGBM Feature Set:

| Feature        | Risk Direction  | Description                      |
|----------------|-----------------|----------------------------------|
| delay_delta    | ↑ = Higher risk | Shipping delay beyond schedule   |
| total_quantity | ↑ = Higher risk | Unusually large order volume     |
| total_sales    | ↑ = Higher risk | Unusually high revenue per order |
| profit_margin  | ↑ or ↓ = Risk   | Deviation from normal margin     |
| discount_ratio | ↑ = Higher risk | Excessive discounting applied    |

### 2.2 Delay Delta

#### Formula:

```
Delay Delta = real_shipment_days - scheduled_shipment_days
```

| Value | Status        | Action               |
|-------|---------------|----------------------|
| ≤ 0   | On Time       | No action            |
| 1–3   | Minor delay   | Monitor              |
| > 3   | Delay Anomaly | ■ Flag & investigate |

## 2.3 Profit Margin per Order

---

**What it means:** The ratio of profit to total sales for a given order. Abnormally high or low margins are fraud signals.

**Formula:**

```
Total Sales =  $\sum$  (quantity × unitPrice) per order_line  
Profit Margin = order_profit / Total Sales
```

## 2.4 Discount Ratio

---

**What it means:** The average discount applied across all product lines in an order. High discount + low margin can be a fraud signal for the LightGBM model.

**Formula:**

```
Discounts = [product.discount for each line in order_lines]  
Discount Ratio = mean(Discounts) – range: 0.0 to 1.0
```

## 2.5 Discount–Revenue Analysis

---

**What it means:** Shows how revenue and units sold are distributed across 7 discount brackets (0%, 5%, 10%, 15%, 20%, 25%, 30%+). Reveals the relationship between promotional discounting and sales performance — critical for margin management.

**Formula:**

```
For each order → bin by discount_ratio into 7 brackets  
Revenue[bin] += total_sales  
Units[bin] += total_quantity
```

### 3 Customer Segmentation KPIs (RFM)

RFM segmentation uses **K-Means clustering (k=3)** on three standardised dimensions to classify each customer. Computed by `/api/partners/clients/segmentation`.

#### 3.1 Recency (R)

**What it means:** Days since the customer last placed an order, measured from reference date **2017-12-31**. Low recency = recently active (high value). High recency = lapsed (at risk).

**Formula:**

```
Reference Date = 2017-12-31 Latest Order Date = max(order_date) for all orders by
this customer Recency = (Reference Date - Latest Order Date).days (Default for no
orders: 365 days)
```

#### 3.2 Frequency (F)

**What it means:** Total number of orders placed by the customer. High frequency = loyal, repeat buyer; low or zero = one-time or lapsed customer.

**Formula:**

```
Frequency = COUNT(sales_orders) where client_id = this customer
```

#### 3.3 Monetary Value (M)

**What it means:** Total amount the customer has spent across all orders. High monetary value customers are most important to retain.

**Formula:**

```
Order Value = Σ (quantity × unitPrice) per order_line Monetary = Σ Order Value for
all orders by this customer
```

#### 3.4 RFM Cluster Segments

**Algorithm:** Features [recency, frequency, monetary] are standardised using *StandardScaler*, then grouped into k=3 clusters using *KMeans(random\_state=42)*. Clusters are labelled by sorting on average monetary value:

| Rank by Avg Monetary | Label     | Description                                      |
|----------------------|-----------|--------------------------------------------------|
| Lowest               | AT RISK   | Long since last purchase, low spend — churn risk |
| Middle               | LOYAL     | Regular buyers with moderate lifetime value      |
| Highest              | CHAMPIONS | High-spend, frequent, recently active customers  |

**Bubble Chart Encoding:** X = Frequency (jittered), Y = Monetary (scaled), Bubble size = Recency (larger = more recent)



## 4 Product & Inventory KPIs

### 4.1 K-Means Product Cluster Tier

|                     |                                   |
|---------------------|-----------------------------------|
| <b>API Endpoint</b> | /api/products/clusters/summary    |
| <b>Algorithm</b>    | K-Means (k=3) on product features |
| <b>Visible To</b>   | Admin, Manager                    |

**What it means:** Products are segmented into performance tiers revealing which drive the most business value, which are steady volume drivers, and which are underperforming.

| Tier           | Description                   | Action                  |
|----------------|-------------------------------|-------------------------|
| High Value     | High revenue, premium pricing | Protect & promote       |
| Volume Drivers | High quantity, lower margin   | Optimise cost           |
| Low Performers | Low revenue and volume        | Rationalise or discount |

### 4.2 Demand Forecast (Facebook Prophet)

|                     |                                      |
|---------------------|--------------------------------------|
| <b>API Endpoint</b> | /api/products/forecasts?product_id=X |
| <b>Model</b>        | Facebook Prophet time-series model   |
| <b>Visible To</b>   | Admin, Manager                       |

**What it means:** Predicts future daily demand per SKU to help purchasing teams plan replenishment before stockouts occur. Auto-retrains in the background when fewer than 90 future forecast days exist.

| Chart Element     | Description                           |
|-------------------|---------------------------------------|
| ACTUAL (green)    | Historical daily sales                |
| FORECAST (purple) | Predicted future demand (dashed)      |
| Confidence Band   | ±5% uncertainty range around forecast |

## 5 Supplier Dashboard KPIs

All supplier KPIs are computed by `/api/supplier/dashboard-data`. Supplier users see **only their own company's data**; Admins can select any supplier. KPIs are derived from the *purchases*, *products*, and *sales\_orders* collections.

### 5.1 Average Lead Time

|                |                                         |
|----------------|-----------------------------------------|
| Display Format | Days (d) — decimal                      |
| Data Source    | <code>purchase_lines.supplyDelay</code> |
| Visible To     | Admin, Manager, Supplier                |
| Direction      | Lower is better                         |

**What it means:** The average number of days between placing a purchase order and receiving goods from this specific supplier. This is the supplier's delivery speed indicator.

**Formula:**

```
delays = [line.supplyDelay for each purchase_line from this supplier] Avg Lead Time
= sum(delays) / count(delays) (Default: 10.0 days if no data)
```

### 5.2 OTIF Rate (Supplier-Level, 12-Day Threshold)

|                   |                                    |
|-------------------|------------------------------------|
| Display Format    | Percentage (%)                     |
| On-Time Threshold | <code>supplyDelay ≤ 12 days</code> |
| Visible To        | Admin, Manager, Supplier           |
| Good Threshold    | <code>≥ 90%</code>                 |

**What it means:** The percentage of individual purchase order lines delivered within the 12-day threshold. Unlike the Admin OTIF (which measures customer shipment), this measures the **supplier's own reliability** in delivering goods to the warehouse.

■ **Note:** The Admin OTIF uses *scheduled vs. real shipment* to measure customer delivery. The Supplier OTIF uses `supplyDelay ≤ 12 days` to measure inbound procurement performance. These are two distinct KPIs.

**Formula:**

```
on_time_count = COUNT(purchase_lines where supplyDelay ≤ 12) total_lines =
COUNT(all purchase_lines from this supplier) Supplier OTIF% = (on_time_count /
total_lines) × 100
```

### 5.3 Total Volume Supplied

---

**What it means:** Total number of units delivered by this supplier across all purchase orders. Primary throughput metric for supplier performance evaluation.

**Formula:**

```
Total Volume = Σ line.quantity for all purchase_lines from this supplier
```

### 5.4 Total Supply Cost

---

**What it means:** Total monetary value of all goods purchased from this supplier (procurement cost, not sales revenue). Used to evaluate procurement spend concentration.

**Formula:**

```
Total Supply Cost = Σ (line.quantity × line.unitPrice) for all purchase_lines
```

### 5.5 Total Sales Revenue (Downstream)

---

**What it means:** Revenue from customer sales orders containing products supplied by this supplier. Links upstream supply to downstream demand, showing business dependency.

**Formula:**

```
supplier_skus = SET of product SKUs in this supplier's purchase lines Downstream  
Rev. = Σ (line.quantity × line.unitPrice) for matching SKUs in sales_orders
```

### 5.6 Total Sales Volume (Downstream)

---

**What it means:** Total units sold downstream to customers for products this supplier provides. Helps the supplier understand demand pressure on their products.

**Formula:**

```
Downstream Volume = Σ line.quantity for all matching order_lines (supplier SKUs only)
```

### 5.7 Active Sales Orders Count

---

**What it means:** Count of customer sales orders containing at least one product from this supplier. Represents the backlog that depends on this supplier's stock availability.

**Formula:**

```
Sales Orders Count = COUNT(sales_orders where any order_line.product_sku ∈  
supplier_skus)
```

### 5.8 Low Stock Count

---

**What it means:** Number of supplier products whose current stock has fallen **below the Reorder Point**. Products in this state are at risk of stockout and require urgent replenishment.

**Formula:**

```
Low Stock Count = COUNT(products where current_stock < reorder_point)
```

## 5.9 Safety Stock

|                |                              |
|----------------|------------------------------|
| Display Format | Integer (units)              |
| Formula Type   | Statistical — Z-score method |
| Service Level  | 95% (Z = 1.65)               |
| Minimum Floor  | 15 units                     |
| Visible To     | Admin, Manager, Supplier     |

**What it means:** A buffer stock level held to protect against unexpected demand spikes or supply delays. It is the minimum inventory that must always be maintained to avoid stockouts during the replenishment lead time.

**Formula:**

$$\text{Safety Stock} = Z \times \sigma_{\text{demand}} \times \sqrt{\text{Lead Time}}$$

$$\text{Safety Stock} = \max(15, \text{Safety Stock}) \leftarrow \text{minimum floor}$$
Where: Z = 1.65 (95th percentile of normal distribution)  $\sigma_{\text{demand}}$  = std dev of historical daily demand for this SKU  
Lead Time = average supply delay in days (from supplyDelay)

## 5.10 Reorder Point (ROP)

|                |                                                                                      |
|----------------|--------------------------------------------------------------------------------------|
| Display Format | Integer (units)                                                                      |
| Chart          | Orange dashed line on Stock Level bar chart                                          |
| Trigger        | $\text{current\_stock} < \text{ROP} \rightarrow \text{product flagged as Low Stock}$ |
| Visible To     | Admin, Manager, Supplier                                                             |

**What it means:** The stock level at which a new purchase order *must* be placed to avoid a stockout before the next delivery arrives. When stock drops below this level, the product is added to the replenishment alert list.

**Formula:**

$$\text{ROP} = \text{Safety Stock} + (\text{Mean Daily Demand} \times \text{Lead Time})$$

## 5.11 Mean Demand & 5.12 Standard Deviation of Demand

---

**Mean Demand** is the average daily sales quantity for a given SKU, derived from historical sales and Prophet forecast records. It is the core demand signal for all stock calculations.

**Formula:**

```
demand_samples = [f.sales or f.forecast for each forecast record where product_id = sku]
Mean Demand = sum(demand_samples) / count(demand_samples)
σ_demand = √[ Σ(demand_i - mean_demand)² / n ] (population std dev)
```

## 5.13 Suggested Reorder Quantity

---

**What it means:** The recommended quantity to order in the next replenishment to bring stock back to a target level covering 2 full lead-time cycles plus safety stock. Ensures both the current deficit is covered and a future buffer is established.

**Formula:**

```
Target Stock = Safety Stock + (2 × Mean Demand × Lead Time)
Suggested Reorder = max(0, Target Stock - Current Stock)
```

## 6 Supplier Segmentation KPIs

Displayed on the **Segmentation** tab. Computed by `/api/partners/suppliers/segmentation` using K-Means (k=3) on [avg\_delay, total\_volume, total\_cost]. Clusters are ranked by *average total volume*.

| Cluster Label   | Basis          | Description                                         |
|-----------------|----------------|-----------------------------------------------------|
| UNDERPERFORMING | Lowest volume  | Small-scale or unreliable supplier; high delays     |
| RELIABLE        | Middle volume  | Consistent mid-tier supplier with acceptable delays |
| STRATEGIC       | Highest volume | High-volume, critical partner for the supply chain  |

| KPI          | Formula                                                  | Direction               |
|--------------|----------------------------------------------------------|-------------------------|
| Avg Delay    | mean(supplyDelay) per supplier                           | Lower is better         |
| Total Volume | $\Sigma$ line.quantity per supplier                      | Higher is better        |
| Total Cost   | $\Sigma$ (line.qty $\times$ line.unitPrice) per supplier | Track for spend control |

## 7 AI Narrative KPIs (LLM Executive Summaries)

Both dashboards use a local **Ollama LLM** (preferred model: qwen2.5:7b, fallbacks: llama3.1, mistral) to generate natural-language summaries from numeric KPI data.

| Dashboard | Inputs to LLM                                                                              | Output                                                                                   |
|-----------|--------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| Admin     | Global Health%, OTIF%, Stockout Rate%, Avg Lead Time, Revenue, Orders, Products, Customers | 3-sentence analysis of operational health, stock & delivery, and recommended focus areas |
| Supplier  | Avg Lead Time, Supplier OTIF%, Volume Supplied, Low-Stock Count, Downstream Orders Count   | 3–4 sentence letter to the supplier on delays, downstream impact, and restock urgency    |

If the LLM is unavailable, the system falls back to a dynamically-generated template summary that populates the same narrative fields with live metric values.

## 8 Quick Reference Card

### Admin KPIs at a Glance

| KPI                    | Formula                                                               | Good Threshold         |
|------------------------|-----------------------------------------------------------------------|------------------------|
| Global Health          | $(\text{OTIF}\% + (100 - \text{Stockout}\%)) / 2$                     | $\geq 95\%$            |
| OTIF Service Level     | $\text{on-time orders} / \text{total orders} \times 100$              | $\geq 95\%$            |
| Active Stockout Rate   | $\text{products (stock=0)} / \text{total products} \times 100$        | $\leq 2\%$             |
| Avg Delivery Lead Time | $\Sigma \text{real\_shipment} / \text{total orders}$                  | As low as possible     |
| Total Revenue          | $\Sigma (\text{qty} \times \text{unitPrice}) \text{ per order\_line}$ | Trending up $\uparrow$ |
| Total Orders           | $\text{COUNT}(\text{sales\_orders})$                                  | Trending up $\uparrow$ |
| Active Products        | $\text{COUNT}(\text{products})$                                       | Stable                 |
| Total Customers        | $\text{COUNT}(\text{DISTINCT client\_id})$                            | Trending up $\uparrow$ |

### Order Anomaly KPIs at a Glance

| KPI            | Formula / Logic                                                | Threshold             |
|----------------|----------------------------------------------------------------|-----------------------|
| Anomaly Status | LightGBM predict(features) + status flag                       | unusual = fraud risk  |
| Delay Delta    | $\text{real\_shipment} - \text{scheduled\_shipment}$           | $> 3d$ = anomaly flag |
| Profit Margin  | $\text{order\_profit} / \text{total\_sales}$                   | Stable = normal       |
| Discount Ratio | $\text{mean}(\text{product.discount}) \text{ per order\_line}$ | Outlier = risk signal |

### Supplier KPIs at a Glance

| KPI                 | Formula                                                                                  | Good Threshold     |
|---------------------|------------------------------------------------------------------------------------------|--------------------|
| Avg Lead Time       | $\text{mean}(\text{supplyDelay}) \text{ across purchase\_lines}$                         | As low as possible |
| Supplier OTIF Rate  | $\text{lines (delay} \leq 12d) / \text{total\_lines} \times 100$                         | $\geq 90\%$        |
| Safety Stock        | $1.65 \times \sigma_{\text{demand}} \times \sqrt{(\text{Lead Time})} \text{ [floor=15]}$ | Always above 0     |
| Reorder Point (ROP) | $\text{Safety Stock} + (\text{Mean Demand} \times \text{Lead Time})$                     | stock > ROP always |
| Suggested Reorder   | $\text{max}(0, \text{TargetStock} - \text{CurrentStock})$                                | Order when flagged |

### RFM Segmentation at a Glance

| Segment   | Recency       | Frequency | Monetary | Retention Action        |
|-----------|---------------|-----------|----------|-------------------------|
| CHAMPIONS | Low (recent)  | High      | High     | Reward & upsell         |
| LOYAL     | Medium        | Medium    | Medium   | Engage & grow           |
| AT RISK   | High (lapsed) | Low       | Low      | ■ Reactivation campaign |

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Document generated from source code analysis of the Smart Supply Chain Dashboard. Backend: /BackEnd/app/routers/ · Frontend: /FrontEnd/src/app/